

1.

a. straight line

$$(120,000 - 15,000) / 5 = 21,000 \text{ per year}$$

b. units-of-production

$$1^{\text{st}} \text{ year } [(120,000 - 15,000) / 210,000] * 80,000 = 40,000$$

$$2^{\text{nd}} \text{ year } [(120,000 - 15,000) / 210,000] * 50,000 = 25,000$$

$$\text{Last year } [(120,000 - 15,000) / 210,000] * 20,000 = 10,000$$

c. double-declining-balance

$$\text{depreciation rate} = 2/5 * 100\% = 40\%$$

$$1^{\text{st}} \text{ year } 120,000 * 40\% = 48,000$$

$$2^{\text{nd}} \text{ year } (120,000 - 48,000) * 40\% = 28,800$$

$$3^{\text{rd}} \text{ year } (120,000 - 48,000 - 28,800) * 40\% = 17,280$$

$$4^{\text{th}} \text{ year \& last year } (120,000 - 48,000 - 28,800 - 17,280 - 15,000) / 2 = 5,460$$

2.

a.

Jan 1

Dr, Cash 45,000

Accumulated depreciation- machine 63,000

Loss on disposal of machine 12,000

Cr. Machine 120,000

b.

Jan 1

Dr. Cash 45,000

Accumulated depreciation- machine 80,000

Cr. Gain on disposal of machine 5,000

Machine 120,000

c.

Jan 1

Dr. Cash 45,000

Accumulated depreciation- machine 94,080

Cr. Gain on disposal of machine 19,080

Machine 120,000